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United States Senate

COMMITTEE ON SMALL BUSINESS
WASHINGTON, DC 20510-6350

May 18, 2000

The Honorable Aida Alvarez
Administrator, Small Business Administration
409 Third Street SW
Washington, DC 20416

Dear Administrator Alvarez:

At my request, the General Accounting Office (GAO) prepared a study focusing primarily on contract bundling. Consolidating multiple contract requirements in a manner that makes small business participation unlikely or impossible is one of the most direct and harmful challenges to small business today. It undermines the goal set in § 2 of the Small Business Act, that "a fair proportion" of Federal procurement dollars be awarded to small business.

We have only begun the war against bundling, and GAO was not able to assess the state of the battle. GAO did find two areas in which the battle plan is proving to be weak: inadequate collection of intelligence data, and insufficient troops deployed to the battlefield. I write to urge your immediate attention to these weaknesses.

Need for Improved Data Collection. The title of the GAO report summarizes the problem of inadequate information: "Limited Information Available on Contract Bundling's Extent and Effects." As in any war, a lack of intelligence data can undermine the overall effort, so I find this

Washington, DC 20416

Dear Administrator Alvarez: our last Small Business Reauthorization Act, we sought to
of that Act directed that the Federal Procurement Data

At my request, the General A lling. Collecting data systematically on the problem is vital
on contract bundling. Consolidating ised by bundling advocates, that bundling does not present
small business participation unlikely that the concerns we keep hearing are merely anecdotal.
challenges to small business today. I
that "a fair proportion" of Federal prde FPDS mandate, the data still are unavailable. As a result,
on to assess bundling's prevalence and impact. It appears

We have only begun the war g collection of FPDS data is the Small Business
of the battle. GAO did find two areasure to issue final regulations on bundling.
collection of intelligence data, and in
your immediate attention to these we usiness Reauthorization Act of 1997 directed that final
n 270 days after enactment, or not later than August 29,

Need for Improved Data Coll nent, and the clock is still ticking.
of inadequate information: "Limited
Effects." As in any war, a lack of int

SBA did issue an interim rule on October 25, 1999, to take effect December 27, 1999. This fails to meet the statutory mandate, however. Although such rules are often called "interim

at is not a technically accurate term. SBA clearly expects to
: final rule.

:shade technicality on compliance with statutory mandates.
i-bundling cause. As long as SBA does not publish a final
llection to capture these important bundling data. Given the
related time delays from de-bugging the software, during
ably fail--it is understandable that the Federal Procurement
before proceeding. It would be better to make the necessary
e, than twice, under an interim and then a final rule.

October 25, 1999, to take effect Decembe
however. Although such rules are often c
not a technically accurate term. SBA cle
al rule.

de technicality on compliance with statuto
ndling cause. As long as SBA does not pu
tion to capture these important bundling d
ed time delays from de-bugging the softw
fail--it is understandable that the Federal
re proceeding. It would be better to make
an twice, under an interim and then a final

: to have the benefit of FPDS data to design a better rule.
e available till a final rule is published. SBA is caught in the

er refraining from further delay and publish a final rule.
is simply to get started. Please advise me of any technical
of a final rule.

Need for Sufficient Personnel and Resources. Once rules are published, SBA needs to ensure they are carried out. The anti-bundling legislation passed in 1997 assumes a major role for SBA's Procurement Center Representatives (PCRs). In the fight against bundling, we need to deploy enough troops in the field.

GAO's report notes that over 2000 Federal procurement centers have no PCR covering their activities. In fact, the number of PCRs has declined by 34% from 1993 to 1999. If this trend is not reversed, most instances of bundling will go unchallenged.

Recent information from SBA suggests an increase in PCRs may be underway. If so, that is an encouraging development. I would appreciate further details on SBA's plans to increase PCR staffing and on the status of implementing those plans.

However, increasing the number of PCRs is not enough by itself. PCRs must have sufficient resources to do the work imposed on them by legislation and by regulation, and they must be fully trained. Finally, SBA must exercise continuous oversight to ensure their responsibilities are carried out.

The GAO report contains troubling information on those questions. I was particularly struck by the experience of a PCR in Fort Worth, Texas, who is responsible for covering the

Johnson Space Center in Houston. She had been unable to review contracts at the Johnson Space Center, because she had enough travel funds to visit the site once a year for only half a day. If PCRs are not provided the resources they need to do their work, it will not matter how many PCRs have been hired.

Second, SBA must provide adequate training to the staff. PCRs are indispensable monitors of proposed bundling and valuable sources of alternative procurement strategies to overcome bundling. They will be able to carry out those roles only if they know their responsibilities and options. Training in their statutory and regulatory obligations is essential, and detailed procurement knowledge is necessary to create small-business-friendly alternatives to bundling. I was disturbed by GA a 20 minute training session as part of a three-day cor strengthen our forces in the battle against PCRs even attended. Please let me know what your pl GAO to draw broader conclusions. I look PCRs and especially for new PCRs being hired. nd I would appreciate having your respons out this letter, please contact Cordell Smit

Last, SBA must monitor ees in all workplaces, some will prove to be more effec self-directed and self-motivated, and some will need a Administrator are ultimately accountable for manap GAO suggests possible lapses in PCR effectiver SBA has identified 42 possible cases of bundling whos ose cases are at least 21 months old. This means valu enough to identify possible instances of bundling ar ow through on pending procurements, identify a ppreciate hearing your plans to monitor the PCRs i e also provide me with a status report on the 42 un y other pending cases.

Sincerely,

Christopher S. Bond
Chairman

GAO has given us some in the battle against bundling, even though limited information exists for GAO to draw broader conclusions. I look forward to your response on the issues raised here, and I would appreciate having your response not later than June 5, 2000. If you have questions about this letter, please contact Cordell Smith of my Small Business Committee staff on (202)224- .

Sincerely,

Christopher S. Bond
Chairman